IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 17/230-232/ND/2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

PRIMEDATABASE.COM PRIVATE LIMITED
HAVING REGISTERED OFFICE AT:
C-101, Rishi Apartment,
Alaknanda, New Delhi- 110019

.....Applicant No. 1/Transferor Company No. 1

AND

VENTURE MEDIA PRIVATE LIMITED
HAVING REGISTERED OFFICE AT:
C-101, Rishi Apartment,
Alaknanda, New Delhi- 110019

.....Applicant No. 2/Transferor Company No. 2

AND

PRAXIS CONSULTING AND INFORMATION SERVICES PRIVATE LIMITED
HAVING REGISTERED OFFICE AT:
C-101, Rishi Apartment,
Alaknanda, New Delhi- 110019

.....Applicant No. 3/ Transferee Company

ORDER DELIVERED ON: 11.05.2022

CORAM:
MR. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

MR. HEMANT KUMAR SARANGI, HON'BLE MEMBER (TECHNICAL)

PRESENT: -

For Applicants: CS R S Bhatia

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Amalgamation (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:-

a. *Allow the present application and pass such necessary order sanctioning the scheme of amalgamation (Annexure-1) along with consequential directions;*
b. *Pass an order dispensing with the requirement of convening the meeting of the equity shareholders / members of all the Applicants Companies;*
c. *Pass an order dispensing with publication of notices and sending individual notices to the shareholders/members of all the Applicant Companies with respect to convening and holding of meetings of all the Applicant Companies;*
d. *Pass an order directing issuance of notice to;*
    i. *Central Government through Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi.*
    ii. *Registrar of Companies, NCT of Delhi, at New Delhi.*
    iii. *The Income Tax Department through the Income Tax Cell at DCIT (HC Cell), Lawyer's Chamber Block No. 01, Room No. 428 8s 429, Delhi High Court, New Delhi and to such other statutory / sectoral regulators or authorities as this Hon'ble Tribunal may deem appropriate, seeking their representations, if any, for sanctioning of the Scheme of Amalgamation (Annexure-1); and*
e. *Pass such other orders or directions as this Hon'ble Tribunal may deem fit in the facts and circumstances of the present case.*

2. That affidavits (@page 52-63 of the Application) in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Prithvi Pal Singh Haldea being the authorized signatory.

3. That vide affidavits dated 10.02.2022 (@page 431-442 of the Application), it is submitted that the Scheme is neither the scheme of corporate debt restructuring nor any reduction of share capital of the Applicant Companies has been included therein and hence, the

requirements of Section 230(2)(b) and 230(2)(c) of the Companies Act, 2013 are not applicable to the present Scheme of amalgamation.

4. That vide affidavits dated 17.03.2022 (Affidavit filed as per order dated 16.03.2022), it is submitted that no inspection, inquiry or investigation is pending against any of the Applicant Companies.

5. That it is submitted that the proposed amalgamation is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme of amalgamation (@page 64-129 of the application) shall be **01.04.2021.**

6. That in relation to the Transferor Company no. 1, it has been represented that the company has 4 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record (@page 176-193 of the Application). It is further submitted that the Transferor Company No. 1 has no Secured and Unsecured Creditors. The certification of the statutory auditors of the Transferor Company No. 1 to this effect has been place on record (@page 194-195 of the Application). In relation to the shareholders, secured and unsecured creditors, the Transferor Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

7. That in relation to the Transferor Company no. 2, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record (@page 254-262 of the Application). It is further submitted that the Transferor Company No. 2 has no Secured and Unsecured Creditors. The certification of the statutory auditors of the Transferor Company No. 2 to this effect has been place on record (@page 263-264 of the Application). In relation to the shareholders, secured and unsecured creditors, the Transferor Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

8. That in relation to the Transferee Company, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been

placed on record (@page 381-388 of the Application). It is further submitted that the Transferor Company No. 2 has no Secured and Unsecured Creditors. The certification of the statutory auditors of the Transferor Company No. 2 to this effect has been place on record (@page 389-390 of the Application). In relation to the shareholders, secured and unsecured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

9. We have heard the Ld. Counsel for the Applicant Companies and perused the averments made in the application and the connected documents filed along with the Scheme of Amalgamation contemplated between the Companies.

10. That the Transferor Company No. 1 – PRIMEDATEBASE.COM PRIVATE LIMITED was incorporated on 30.03.2000 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 50,00,000/- divided into 5,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 5,24,000/- divided into 52,400 equity shares of Rs. 10/- each fully paid up. (@page 24 of the Application)

11. That the Transferor Company No. 2 – VENTURE MEDIA PRIVATE LIMITED was incorporated on 20.06.1989 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 5,81,170/- divided into 58,117 equity shares of Rs. 10/- each fully paid up. (@page 30 of the Application)

12. That the Transferee Company – PRAXIS CONSULTING AND INFORMATION SERVICES PRIVATE LIMITED was incorporated on 16.11.1989 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is 70,19,200/- divided into 7,01,920 equity shares of Rs. 10/- each fully paid up (@page 36 of the Application).

13. It is seen that the Board of Directors of all the Applicant Companies vide meetings held on 28.01.2022 have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed

have been placed on record (@page 130-131, page 196-198 and page 265-267 of the Application).

14. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021 and provisional financial statement for the period ended 30th November, 2021 (@page 159-175 and 227-253 and 297-380 of the Application).

15. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013 (@page 414-415 of the Application).

16. Valuation Report containing the share swap ration dated 19.01.2022 has also been placed on record. (@page 391-413 of the Application

17. In sequel to the above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditors or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. In relation to the Transferor Company No. 1:

i. With respect to Shareholders:
Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:
Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:
Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

B. In relation to the Transferor Company No. 2:

i. With respect to Shareholders:
Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:
Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:
Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

C. In relation to the Transferee Company:

i. With respect to Shareholders:
Since all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:
Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:
Since there is no Secured Creditor. Therefore, the necessity of convening and holding a meeting does not arise.

18. Accordingly, in terms of the above order, CA (CAA) 17 (ND) of 2022 is allowed.

-Sd-

-Sd-

11.05.2022

(HEMANT KUMAR SARANGI)
Member (T)

(ABNI RANJAN KUMAR SINHA)
Member (J)